

the knowledge that Buffett, whether he is purchasing common stocks or wholly owned businesses, approaches each transaction in the same way. Whether he is buying a public or a private company, Buffett goes through the same process, in more or less the same sequence. He thinks about the business, the people who run the business, the economics of the business, and then the value of the business, and in each case he lays what he learns against his own benchmarks. I labeled them investment tenets and divided them into four categories: business tenets, management tenets, financial tenets, and market tenets. The goal of *The Warren Buffett Way* was to take the major companies that Buffett had purchased for Berkshire Hathaway and discover whether they were, in fact, aligned with the tenets reflected in his writings and speeches. What would be valuable, in my opinion, and what would be valuable to investors was a thorough examination of his thoughts and strategies aligned with the purchases that Berkshire made over the years, all compiled in one source. To that end, I believe we were successful.

I had never met Warren Buffett before writing the first edition of the book. I did not consult with him while developing it. Consultation surely would have been an added bonus, but I was fortunate enough to draw from his own extensive writings on the subject of investing. Throughout the book I have employed extensive quotes from Berkshire Hathaway's annual reports, specifically the Chairman's Letters. Mr. Buffett granted me permission to use the copyrighted material, but only after he had an opportunity to review the book. However, this permission in no way implies that he cooperated on the book or that he made available to me secrets or strategies that are not already available from his writings. Almost everything Warren Buffett does is public, but it was loosely noted.

The principal challenge I faced in writing the book was to prove or disprove Buffett's confession that "what [I] do is not beyond anybody else's competence." Some critics argue that, despite his success, Warren Buffett's idiosyncrasies prevent his investment approach from being widely adopted. I disagree. Buffett is idiosyncratic—it is a source of his success—but I will argue that his methodology, once understood, is applicable to both individual and institutional investors alike. It is the goal of this book to help